

UJIAN AKHIR SEMESTER – 2019/2020

PENGANTAR MAKROEKONOMI (PE2)

2.5 JAM (150 MENIT) plus 15 Menit untuk foto/scan & kirim jawaban

PG (Setiap soal berbobot 1.5 poin)

1. Henry, a German citizen, pays a German architect to design a country house. Which country's exports increase?

- a. Germany's
- b. Gernamy's
- c. Germany's and Gernamy's
- d. Neither Germany's nor Gernamy's

ANS: a

2. If the real exchange rate for coal is 1.5, the price of coal in the United States is \$50 per ton, and the price of coal in Britain is 20 British pounds per ton, what is the nominal exchange rate?

- a. 15/4 or 3.75 pounds per dollar
- b. 5/3 or 1.67 pounds per dollar
- c. 3/5 or 0.6 pounds per dollar
- d. 4/15 or 2.67 pounds per dollar

ANS: c

3. Which of the following equations is correct?

- a. $S = I + C$
- b. $S = I - NX$
- c. $S = I + NCO$
- d. $S = NX - NCO$

ANS: c

4. Suppose a Starbucks tall latte costs \$4.00 in the United States and 2.50 euros in the Euro area. Also, suppose a McDonald's Big Mac costs \$4.50 in the United States and 3.60 euros in the Euro area. If the nominal exchange rate is 0.80 euros per dollar, which goods have prices that are consistent with purchasing-power parity?

- a. Both the tall latte and the Big Mac
- b. The tall latte but not the Big Mac
- c. The Big Mac but not the tall latte
- d. Neither the Big Mac nor the tall latte

ANS: c

5. If the demand for loanable funds shifts left, then the real interest rate

- a. falls and the equilibrium quantity of loanable funds rises.
- b. and the equilibrium quantity of loanable funds both rise.
- c. and the equilibrium quantity of loanable funds both fall.
- d. rises and the equilibrium quantity of loanable funds falls.

ANS: c

6. If real interest rates rose more in Canada than in the United States, then other things the same
- a. U.S. citizens would buy more Canadian bonds and Canadians would buy more U.S. bonds.
 - b. U.S. citizens would buy more Canadian bonds and Canadians would buy fewer U.S. bonds.
 - c. U.S. citizens would buy fewer Canadian bonds and Canadians would buy fewer U.S. bonds.
 - d. U.S. citizens would buy fewer Canadian bonds and Canadians would buy more U.S. bonds.

ANS: b

7. If a country experiences capital flight, which of the following curves shift right?
- a. Only the demand for loanable funds.
 - b. Only the supply of dollars in the market for foreign-currency exchange.
 - c. Only the net capital outflow curve and the supply of dollars in the market for foreign currency exchange.
 - d. The demand for loanable funds, the net capital outflow curve, and the supply of dollars in the market for foreign currency exchange.

ANS: d

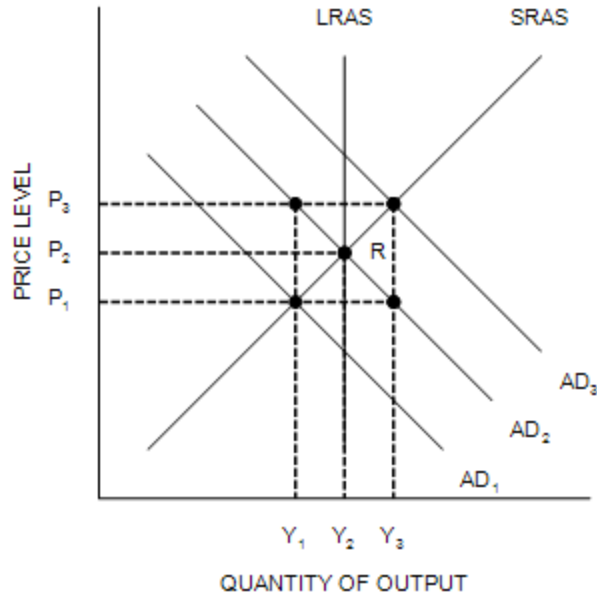
8. Other things the same, a higher real interest rate
- a. decreases the quantity of loanable funds supplied.
 - b. raises domestic investment.
 - c. raises loanable funds demanded.
 - d. raises the quantity of loanable funds supplied.

ANS: d

9. When looking at a graph of aggregate demand, which of the following is correct?
- a. There are nominal variables on both the vertical and the horizontal axes.
 - b. There are real variables on both the vertical and horizontal axes.
 - c. The variable on the vertical axis is nominal; the variable on the horizontal axis is real.
 - d. The variable on the vertical axis is real; the variable on the horizontal axis is nominal.

ANS: c

Figure 1



10. **Refer to Figure 1 above.** Suppose the economy starts at R. If changes occur that move the economy to a new short-run equilibrium of P_1 and Y_1 , then it must be the case that

- a. short-run aggregate supply has decreased.
- b. short-run aggregate supply has increased.
- c. aggregate demand has increased.
- d. aggregate demand has decreased.

ANS: d

11. Which of the following would shift the long-run aggregate supply curve right?

- a. Both an increase in the capital stock and an increase in the price level
- b. An increase in the capital stock, but not an increase in the price level
- c. An increase in the money supply, but not an increase in the capital stock
- d. Neither an increase in the money supply nor an increase in the capital stock

ANS: b

12. Which of the following would not be directly included in aggregate demand?

- a. An increase in firms' inventories
- b. Purchases of goods by households
- c. Firms' purchases of newly produced machinery
- d. Government's tax collections

ANS: d

13. Which of the following is an example of crowding out?

- a. An increase in government spending increases interest rates, causing investment to fall.
- b. A decrease in private savings increases interest rates, causing investment to fall.
- c. A decrease in the money supply increases interest rates, causing investment to fall.
- d. An increase in taxes increases interest rates, causing investment to fall.

ANS: a

14. Monetary policy

- a. must be described in terms of interest-rate targets.
- b. must be described in terms of money-supply targets.
- c. can be described either in terms of the money supply or in terms of the interest rate.
- d. cannot be accurately described in terms of the interest rate or in terms of the money supply.

ANS: c

15. Fiscal policy affects the economy

- a. only in the short run.
- b. only in the long run.
- c. in both the short and long run.
- d. in neither the short nor the long run.

ANS: c

16. Suppose there is a tax decrease. To stabilize output, the Federal Reserve could

- a. decrease government spending.
- b. decrease the money supply.
- c. increase government spending.
- d. increase the money supply.

ANS: b

17. From 2008-2009 the Federal Reserve created a very large increase in the money supply. According to the short-run Phillips curve this policy should have

- a. raised inflation and unemployment.
- b. raised inflation and reduced unemployment.
- c. reduced inflation and raised unemployment.
- d. reduced inflation and unemployment.

ANS: b

18. The short-run Phillips curve shows the combinations of

- a. unemployment and inflation that arise in the short run as aggregate demand shifts the economy along the short-run aggregate supply curve.
- b. unemployment and inflation that arise in the short run as short-run aggregate supply shifts the economy along the aggregate demand curve.
- c. real GDP and the price level that arise in the short run as short-run aggregate supply shifts the economy along the aggregate demand curve.
- d. real GDP and the price level that arise in the short run as aggregate demand shifts the economy along the short-run aggregate supply curve.

ANS: a

19. Suppose Indonesians become optimistic about the future of the economy and, as a result, increase their current consumption expenditures. Which of the following would you expect to occur as a result of this change?

- a. In the short run, unemployment will decrease and inflation will rise.
- b. In the short run, unemployment will decrease and inflation will fall.
- c. In the short run, unemployment will increase and inflation will fall.
- d. In the short run, unemployment will increase and inflation will rise.

ANS: a

20. Milton Friedman and Edmund Phelps argued in the late 1960s that in the long run the Phillips curve is

- a. downward-sloping, which implies that monetary and fiscal policies can influence the level of unemployment in the long run.
- b. downward-sloping, which implies that monetary and fiscal policies cannot influence the rate of inflation in the long run.
- c. vertical, which implies that monetary and fiscal policies cannot influence the level of unemployment in the long run.
- d. vertical, which implies that monetary and fiscal policies cannot influence the rate of inflation in the long run.

ANS: c

ESSAYS (Setiap soal berbobot 10 poin)

1. What is the logic behind the theory of purchasing-power parity?

ANS:

The logic behind purchasing-power parity is the law of one price, which asserts that a good must sell for the same price in all locations. If the price for a good is higher in one market than in another, someone can make a profit by purchasing the good where it is relatively cheap, and selling the good where it is relatively expensive. This process of arbitrage leads to an equalization of prices for the good in all locations. If purchasing power parity holds, the amount of Indonesian rupiahs it takes to buy a good in Indonesia should buy enough foreign currency to buy the same good in a foreign country.

2. Suppose a presidential candidate promises to increase the government budget surplus and claims that doing so will stop U.S. citizens from investing in foreign companies and increase the value of the dollar. Evaluate this candidate's promise.

ANS:

An increase in the government budget surplus will cause U.S. interest rates to fall. The decline in interest rates will increase domestic investment, but it will also cause Americans to look for higher returns abroad, which means that net capital outflow rises rather than falls as promised. To take advantage of these higher

returns, Americans will supply more dollars in the foreign-currency exchange market so the dollar will depreciate rather than appreciate as promised.

3. Keynes thought that the behavior of the economy in the short run was influenced by what he called "animal spirits." By this he meant that business people sometimes felt good about the economy, and carried out lots of investment, and at other times felt bad about the economy, and so cut back on their investment spending. Explain how such fluctuations in investment would lead to fluctuations in real GDP and prices.

ANS:

Fluctuations in investment cause the aggregate demand curve to shift. If the aggregate demand curve shifts to the right, real GDP and the price level rise. If the aggregate demand curve shifts to the left, real GDP and the price level fall. So erratic movements in investment can cause fluctuations in output.

4. Explain why the interest rate is the opportunity cost of holding currency. What is the benefit of holding currency?

ANS:

The nominal interest rate on currency is zero. The next best alternative is to buy a bond and earn interest. Currency is used as a medium of exchange. Bonds are illiquid and so are costly to convert to a medium of exchange.

5. If asset prices fall and inflation expectations remain unchanged, what happens to inflation and unemployment? Defend your answer.

ANS:

Inflation falls and unemployment rises. The decrease in asset prices would cause consumption to fall, so aggregate demand would shift left making prices and output fall. This decrease in demand can be shown as a downward movement along a short-run Phillips curve

6. Suppose that a decrease in the demand for goods and services pushes the economy into recession. What happens to the price level? If the government does nothing, what ensures that the economy still eventually gets back to the natural rate of output?

ANS:

A decrease in aggregate demand causes the price level to fall. If the government takes no action to counter this, then the actual price level will be below the price level that people expected. Individuals will eventually correct their expectations of the price level. As they do so, prices and wages will adjust accordingly, shifting the aggregate supply curve to the right. For example if wages are sticky, in light of the lower price level, firms and workers will eventually make bargains for lower nominal wages. The reduction in wages lowers costs of production, so firms are willing to produce more at any given price

level. Consequently, the short-run aggregate supply curve shifts right. The rightward shift in aggregate supply eventually causes output to rise back to the natural rate.

7. Why do many economists advocate a consumption tax rather than an income tax?

ANS:

The current income tax means that income is taxed at the same rate if it is used for current consumption or if it is saved. A consumption tax would encourage saving, because individuals would be taxed only when they spend. Income saved would be exempt from tax until it was ultimately used for consumption. Thus, a consumption tax would encourage saving.